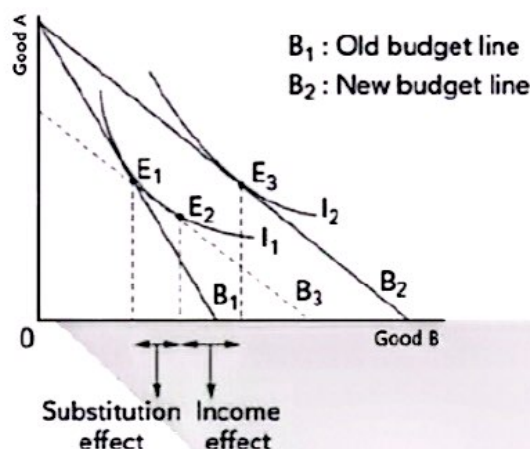
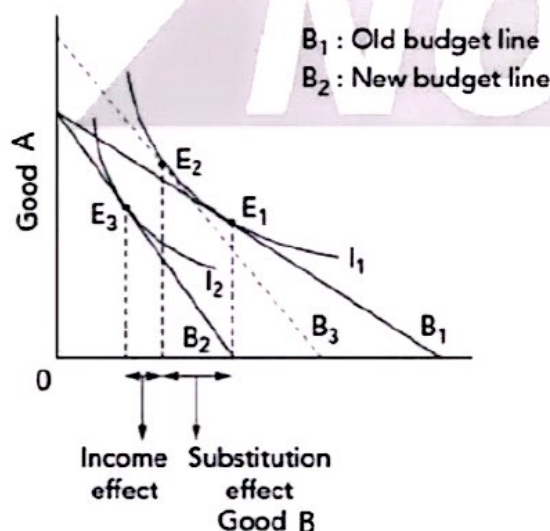


consumer choices. Together, they show how consumers can **maximise satisfaction**.

- Consumer's choice is **optimal** at the point where budget lines touch/is at a tangent to the highest indifference curve. This point shows the **marginal rate of substitution**.



- Following a **price decrease for Normal good B**, in the example above, a price decrease for good B has caused an increase in the purchasing power of consumers (now can buy more).
- A shift from consumer equilibrium, E1 to E2, is the **substitution effect**. Consumers will now be purchasing more of Good B as it is relatively cheaper than Good A, shifting the optimum consumer satisfaction more towards good B.
- A shift from consumer equilibrium, E2 to E3, is the **income effect**. With more purchasing power, the **budget line shifts to B2**, downward sloping as more of Good B can be purchased while Good A stays the same.
- Through the diagram above, we can conclude that:
 - A substitution effect is E1 to E2, meaning a shift in the budget line causes movement along the IC curve.
 - An income effect is E2 to E3 when a new IC is formed.
- Price Effect = Substitution effect + Income effect.**

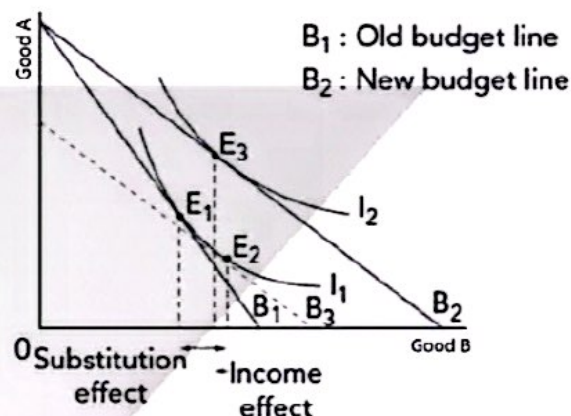


- The example above, is an **Increase in price of Normal Good B**.

- We conclude:

- Substitution effect is E1 to E2. Consumer is buying more of good A.
- Income effect is E2 to E3. Less purchasing power makes Income effect negative, reducing consumption of both goods.

- In the case of **Inferior goods**, An increase in purchasing power/real income, would mean less of Good B would be consumed (with consumers favouring more expensive goods). This creates a negative income effect, but it is not enough to counter the substitution effect.



- Giffen Goods** is a sub-category of inferior goods; its **consumption increases when its price increases**. This is because of a strong income effect (Real income changes).
 - If price for a giffen good increases, example staple food like rice/meat, **substitution effect is negative** since the budget decreases (shifts left), but due to a fall in real income (consumers have less to spend), a **strong positive income effect** takes place that **exceeds the substitute effect**.

Price Effects			
Price Change	Good Type	Price Effect (on demand)	Demand Change
Fall	Normal	Both effects ↑	Rise
Fall	Inferior	Sub. Effect ↑ > In. effect ↓	Rise
Fall	Giffen	Sub. Effect ↑ > In. effect ↓	Fall
Rise	Normal	Both effects ↓	Fall
Rise	Inferior	Sub. Effect ↓ > In. effect ↑	Fall
Rise	Giffen	Sub. Effect ↓ > In. effect ↑	Rise

Limitation of the Model of Indifference Curves

- Consumers are not always rational in their choices; emotions and personal judgement affect the choice of the best available alternative.

- The consumer may not always realize the level of utility from consumption or the original expectation of utility.
- The indifference curve can only be done for 2 or, at best, for 3 goods and can not take into account ALL the goods in a basket.
- Indifference curve analysis can not help when one of the goods (A or B) is a durable good. For example, comparing the quantity of cake to the quantity of cake pan.

1.3. Efficiency and Market Failure

- **Economic Efficiency:** where scarce resources are used most efficiently to produce maximum output. Consists of:
 - **Productive Efficiency:** When a firm is producing at the lowest possible cost.
 - **Allocative Efficiency:** where price equals marginal cost: firms produce the goods and services most consumers want. No waste, both producers and consumers are satisfied with produced goods.
 - The marginal cost of production measures the opportunity cost of resources used to produce this unit.

Productive Efficiency

- **Productive Efficiency** only exists when producing in the border of a PPC curve.
- **Competition** may lead to productive efficiency, forcing firms to **lower prices** and not go bankrupt, and will lead to firms **reducing their costs to get the greatest possible profit**.
- **Perfect Competition** pushes firms to **long-run equilibrium** in the market by producing at **q** and price at **p**. **Lowest Average cost** is achieved, leading to productive efficiency in the economy.

Allocative Efficiency

- The table below, shows us the most allocative efficient output would be Quantity 4.

Quantity	1	2	3	4	5
Price per unit	6	6	6	6	6
Marginal cost per unit	3	4	5	6	7

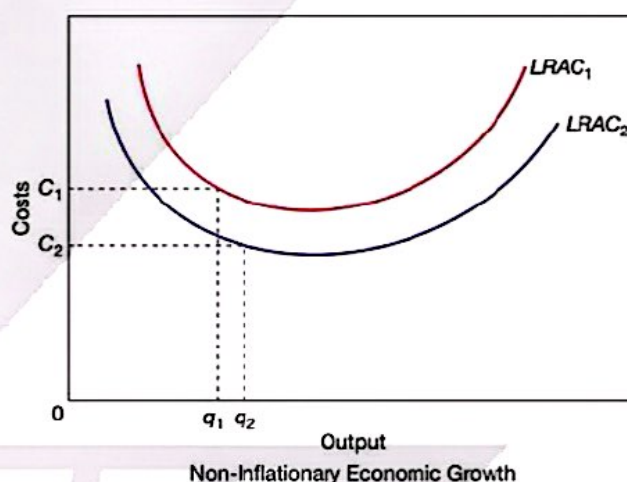
- It cannot be expressed using a PPC curve. Any point on the frontier/border as long as the marginal cost and selling price are the same.
- A **competitive market** can lead to allocative efficiency. It leads to 2 motivations: motivation to make the greatest profit so they will **produce the products with the highest level of demand**; second, the other firms will be producing high-demand products, which **forces other firms to do the same** to prevent failure and closure of the firm.
- Allocative efficiency can be seen in the graph, where the marginal cost curve meets the price.

Pareto Optimality

- **Pareto Optimality:** where it is impossible to make someone **better off** without making someone else **worse off**.
- If resource allocation is not Pareto efficient, then there is **scope for improvement**.
- Any improvement in economic efficiency will need some form of **compensation** to individuals negatively affected by the improvement.

Dynamic Efficiency

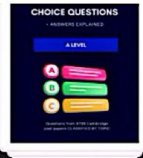
- **Dynamic Efficiency:** a productive efficiency that benefits a firm over time. Resources are reallocated so that **output increases relative to the increase in resources**.
- The **long-term phenomenon** is achieved when firms meet the market's changing needs by introducing new production processes in response to competitive pressures and require investment with outside firms. When a firm becomes dynamically efficient, the **long-run average cost curve shifts downwards**.



Market Failure

- **Market Failure** is when a **free market** fails to make the **optimum use of scarce resources due to no government intervention**. It is when a market's interaction between supply and demand does **not lead to productive and/or allocative efficiency**.
- Reasons for market failure (oversupply or undersupply of goods):
 - Externalities present in the market
 - No Provision of merit and demerit goods
 - No Provision of public and quasi-public goods
 - Information failure exists
 - Adverse selection or moral hazard
 - Abuse of monopoly power in the market

1.4. Private Costs and Benefits, Externalities, Social Costs and Benefits



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1. The Price System and The Microeconomy

1.1. Utility

- **Utility:** the satisfaction gained from the consumption of a product.
- **Total Utility:** the satisfaction from consuming all product units over a particular period.
- **Marginal Utility:** the satisfaction gained from **one more unit** of a product consumed over a particular period of time. Tends to fall as consumption increases.
 - Note: Consumers purchase products when $P \leq MU$
- **The Law of Diminishing Marginal Utility:** the fall in marginal utility as consumption rises.
 - Assuming limited income, rational behaviour and a goal to maximise total utility.
- **Equi-Marginal Principle:** Consumers maximise their utility where their marginal valuation for each product consumed is the same.
 - It can be used to draw up a demand curve. Price rises for product A; marginal utility will be less than other goods and reduce the buying of consumers of A compared to other products due to their goal of maximising total utility. Through it, we get to know the level of demand for consumers.

$$\frac{MU \cdot A}{P \cdot A} = \frac{MU \cdot B}{P \cdot B} = \frac{MU \cdot C}{P \cdot C} = \dots$$

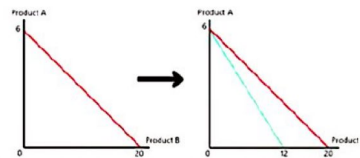
Limitations of Marginal Utility and Rational Consumer Behaviour

- Customers can not always put wants in order of most satisfaction, as some products may carry the same level of satisfaction or may change depending on mood.
- Customers may not always be able to assign a value to their satisfaction, as it is difficult to put intangible thoughts and feelings to numbers.
- It also assumes rational behaviour from consumers, that they will be satisfied with more rather than less.

1.2. Indifference Curves and Budget Lines

Budget Lines

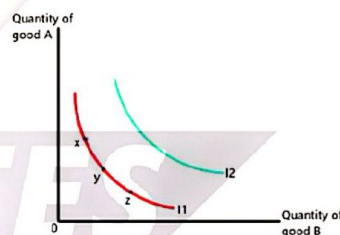
- **Budget Line:** the combination of 2 products obtainable with given income and prices.
- **Substitution Effect:** Following a price change, a consumer will substitute the more expensive product for the one that is now relatively cheaper.



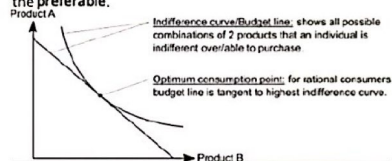
- **Income Effect:** the resultant change in demand for a good or service caused by an increase or decrease in a consumer's purchasing power or real income.
- The income effect has a **positive relationship with normal goods**, meaning if income increases, consumers can **purchase more of the normal goods**.
- The income effect has an **inverse relationship with inferior goods**, meaning if income increases, consumers will **purchase less of the inferior goods**.
- These cause a shift in the budget line, a **rightward shift for normal goods**, and a **leftward shift for inferior goods**.

Indifference Curve

- **Indifference Curve:** this shows the different combinations of two goods that give consumers equal satisfaction. Represents the extent to which consumers are willing to substitute a good for another.
- **Marginal Rate of Substitution:** The rate at which a consumer is willing to substitute a good for another. This is what affects the slope of the curve,



- Consumers are indifferent to x, y, and z since they all are in the same curve. The equimarginal principle is applied here.
- A higher indifference curve (I2) means a higher level of consumption and utility. The higher the curve placement, the **preferable**.



- The budget line represents the **extent of consumer income**, and the IC indicates the **extent of available**

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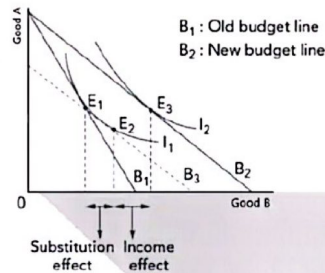
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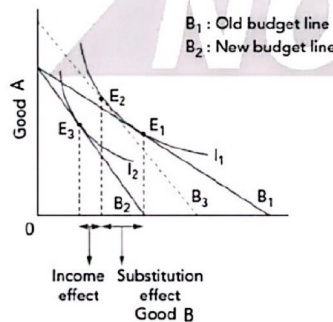
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consumer choices. Together, they show how consumers can maximise satisfaction.

- Consumer's choice is **optimal** at the point where budget lines touch/is at a tangent to the highest indifference curve. This point shows the **marginal rate of substitution**.



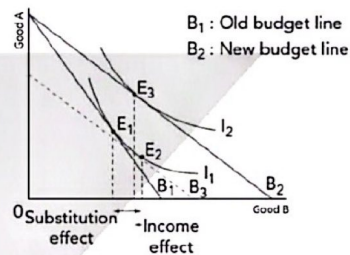
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- The example above, is an increase in price of Normal Good B.

We conclude:

- Substitution effect is E_1 to E_2 . Consumer switch to buying more of good A.
- Income effect is E_2 to E_3 . Less purchasing power, makes income effect negative, reducing consumption of both goods.
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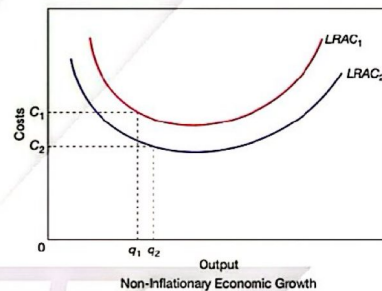
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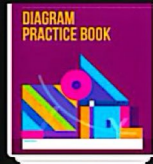


Market Failure

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1.4. Private Costs and Benefits, Externalities, Social Costs and Benefits





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Social Costs

Social Costs = Private Costs + External Costs

- **Social Costs:** the total costs of a particular action borne by all the society.
- **Private Costs:** those costs that are incurred by an individual who produces a good or service.
- **External Costs:** those costs incurred and paid for by third parties not involved in the action.

Marginal Social Costs

Marginal Social Costs = Private Marginal Costs + External Marginal Costs

- **Marginal Social Costs:** the total cost society pays for the production of another unit or for taking further action in the economy.
- **Private Marginal Costs:** the change in the producer's total cost due to producing an additional unit of a good or service.
- **External Marginal Costs:** the change in the cost to parties other than the producer or buyer of a good or service due to the production of an additional unit of the good or service.

Social Benefits

Social Benefits = Private Benefits + External Benefits

- **Social Benefits:** the total benefits arising from a particular action.
- **Private Benefits:** benefits that accrue to individuals who produce and consume a particular good.
- **External Benefits:** benefits received by third parties not involved in the action.
- If social benefits rise more than private, positive externalities are present.

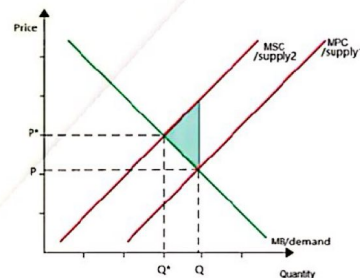
Marginal Social Benefits

Marginal Social Benefits = Marginal Private Benefits + Marginal External Benefits

- **Marginal Social Benefits:** the satisfaction experienced by consumers/producers of a specific good, plus the overall environmental and social benefits.
- **Marginal Private Benefits:** the total marginal benefits of every consumer for each quantity of good consumed.
- **Marginal External Benefits:** the benefit from consuming one more unit of a good or service that falls on people other than the consumer**.*
 - the 4 kinds of externalities (Positive consumption externalities, negative consumption externalities, Positive production externalities and negative production externalities)

Externalities

- **Externalities:** where the actions of producers or consumers give rise to side effects on third parties who are not involved in the action; sometimes referred to as spillover effects.
- **Negative Externalities:** where side effects negatively impact and impose costs on third parties.
 - **Negative Production**
 - **Negative Consumption**
- **Positive Externalities:** where the side effects positively impact and benefit third parties.
 - **Positive Production**
 - **Positive Consumption**
- Arise through the actions of consumers and producers, distinction is sometimes not always clear.
- Externalities create the problem of an **inappropriate amount of goods and services being produced**. Firms do not usually take into account all social costs, only private. Thus, the **overproduction of goods with negative externalities** will continue due to **no acknowledgement of social costs by private decision-makers**.



- The graph above shows how Marginal private costs (MPC) is the level of supply currently produced, with price P and quantity Q; since **negative externalities of production are not acknowledged**, firms **overvalue** (as it may seem like a higher profit margin) and hence **overproduce**, and the market is in a disequilibrium.
- Only through **government intervention and the acknowledgement of the negative externalities** will the supply shift to the left, causing P to shift to P* and Q to shift to Q*, and will the market be in equilibrium.
- **Deadweight Welfare Loss:** A deadweight loss is a cost to society created by market inefficiency, which occurs when supply and demand are out of equilibrium.
 - Market inefficiency occurs when goods within the market are either **overvalued or undervalued**.
- Deadweight welfare loss is indicated by the triangle in the graph.

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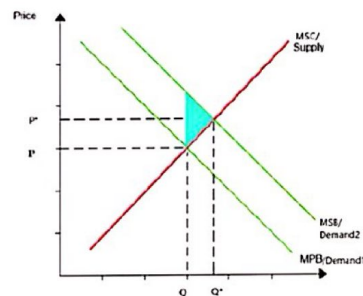
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- Positive externalities may also cause deadweight loss. In the graph above, Marginal Private Benefit (MPB) is the level of current demand, with price P and quantity Q ; since **Positive externalities of consumption are not acknowledged, consumers undervalue (since they are not aware of the actual benefit), and hence producers underproduce**, and the market is in disequilibrium.
- Only through government intervention and acknowledging the positive externalities will the demand shift to the right, causing P to shift to P^* and Q to shift to Q^* , and the market will be in equilibrium.

1.5. Asymmetric Information and Moral Hazard

Asymmetric Information

- Asymmetric Information:** occurs when one party to an economic transaction possesses greater material knowledge than another.
- Where people do **not have full or complete information** and do not realise the benefit of a merit good or the side effects of a demerit good.
- Moral Hazard:** the tendency for insured or otherwise protected people to take a greater risk. This situation arises from Asymmetric Information, where the person in the market is more informed than the seeker of advice/buyer.
 - For example, a doctor's diagnosis.
 - This could lead to a misallocation of resources
 - More of a risk as it is not done purposefully by the person in the market.
- Adverse Selection:** where an insurance company encounters the probability of extreme loss due to a risk not divulged at the time of a policy's sale.
 - For example, when applying for health insurance, the insured hides bad habits (smoking, drinking, etc.).
 - This case of information failure is due to information being withheld or portrayed inaccurately. This is more purposeful.

Positive Consequences of Asymmetric Information

Negative Consequences of Asymmetric Information

Positive Consequences of Asymmetric Information	Negative Consequences of Asymmetric Information
Specialisation is encouraged in a healthy economy. The economy will benefit from trade and the Division of labour.	People can be taken advantage of, and encouraging immoral activity may reduce living standards.
Greater aggregate demand and a better standard of living.	Adverse selection can take place, which results in negative externalities.

1.6. Cost-Benefit Analysis in Decision-Making

- Cost-Benefit Analysis (CBA):** a method for assessing the desirability of a project, taking into account the costs and benefits involved.
- Used to measure the feasibility of a project/business. Weighing the costs with the benefits and comparing them to the opportunity cost Aims for a competitive advantage.
- The technique assumes that a monetary value can be placed on all the costs and benefits of a program, including tangible and intangible returns to other people and organizations in addition to those immediately impacted.

Stages in a Costs-Benefits Analysis

- Identification of all relevant costs and benefits.
- Putting a monetary value on all relevant costs and benefits.
- Forecasting future costs and benefits (where appropriate).
- Decision-making - the interpretation of the results from CBA.

Step	Advantages	Disadvantages
Identification	All costs/benefits considered	Identification is tough
Monetary evaluation	Most will have market prices	Shadow prices
Forecast	Future consequences	Uncertainty in estimation
Interpretation	All info. Useful	Bureaucracy
Decision-making	Investment projects	Public expenditure

1.7. Short-Run Production Function

- Short-run production function defines the relationship between 1 variable factor of production (while keeping the rest fixed) and output.
- Short-run is not a period of time, but rather a condition where not all factors of production are variable.

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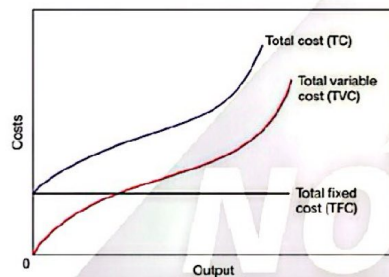


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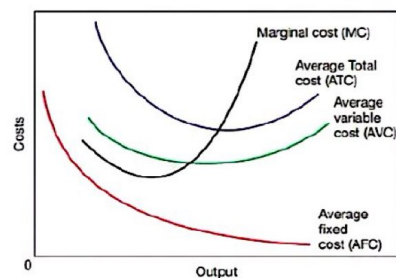
- The **production function** shows the maximum possible output from the given set of factor inputs.
 - Formula:** $Q = A \cdot F(K, L)$, where Q is total output (Quantity), A is technology, and F is factors of production, with K being capital and L being labour.
- Total product** is the total output a firm produces within a given period, utilising given inputs.
 - Total product = Average product $\times$ labour
- Average product**, output per unit of inputs of variable factors.
 - Average product = $\frac{\text{Total product}}{\text{Labour}}$
- Marginal product** is the addition of variable factors to the total product.
 - Marginal product = $\frac{\text{Change in output}}{\text{Change in input}}$
- The **Law of Diminishing Returns (law of variable proportions)** is where the output from an additional input unit leads to a fall in the marginal product.

Short Run Cost Function

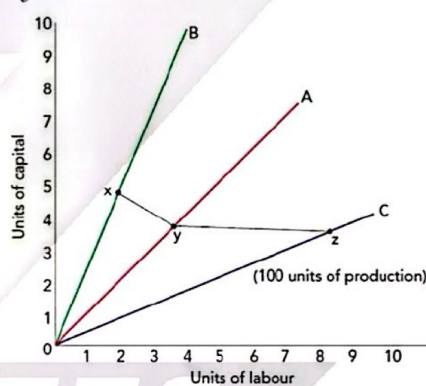
- Fixed Costs:** Those costs are independent of output in the short run, so they are a straight line and don't change with output.
- Variable Costs:** those that vary directly with output; all costs are variable in the long run, so the graph is curved and changes with output
- Total cost** = total fixed cost + total variable cost. It starts at the fixed cost line and follows the variable cost line, since it combines both.



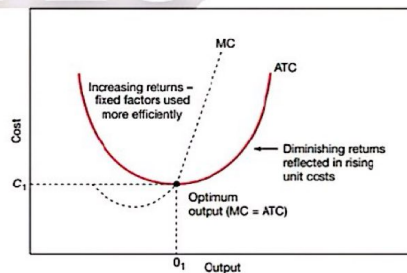
- Average Fixed Cost = $\frac{\text{total fixed cost}}{\text{output}}$
- Average variable cost = $\frac{\text{total variable cost}}{\text{output}}$
- Average total cost = $\frac{\text{total cost}}{\text{output}}$
- Marginal cost = $\frac{\text{change in cost}}{\text{change in quantity}}$



- Isoquant:** a curve that shows a particular output level over a combination of inputs. It is similar to the **Indifference curve**. **Output** refers to the **total physical product**. An example graph given below. The points x, y and z on the graph show the same output.



- Optimum Output:** most efficient output at the lowest unit cost. Production efficiency in the short run.
- Optimum output $\neq$ profit maximisation (this is a long run).



- The short-run average cost curve (SRAC) shows us the optimum output point where marginal cost meets the



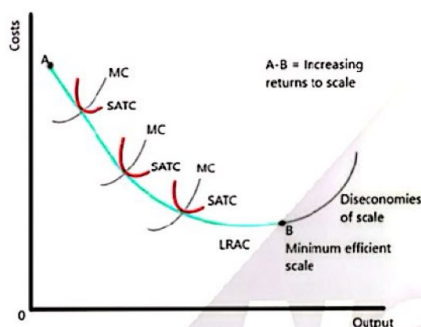
- lowest point of average total cost.
- The cup shape of the curve is because, initially, the **average cost reduces due to increased efficiency and better-fixed factors**, known as increasing returns. It continues to **drop until the Optimum output** is reached. Then, as the additional cost of producing more units becomes a burden (**increase in marginal cost**), diminishing returns happen, leading to increased average total cost and the slope turning **upward**.

1.8. Long-Run Production Function

- In the long run, all factors of production are variable. This allows factor input to be manipulated to find the most efficient level.
- Increasing returns to scale**: where output increases proportionately faster than the increase in factor inputs.
- Decreasing returns to scale**: where factor inputs increase at a proportionately faster rate than the increase in output.

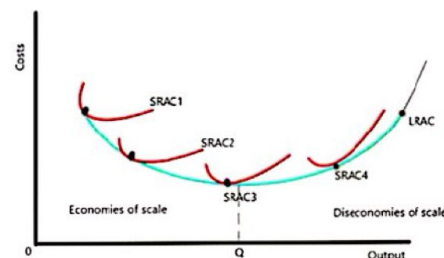
Long Run Cost Function

Long-run cost



- The reason the curve is sloping is because, over-time, economies of scale reduce costs and output increases (increasing returns to scale), but there will come a point where costs reach the lowest they can while output is highest, and once firms surpass that point, diseconomies start to gain.
- Minimum Efficient Scale**: lowest level of output at which costs are minimised.
 - Low MES leads to a fragmented market, and high MES levels lead to a natural monopoly.

Long-run average cost curve-envelope curve



- LRAC is also known as the envelope curve, consisting of the short-run average costs over time.

1.9. Economies and Diseconomies of Scale

- Economies of Scale** - the benefits gained from falling long-run average costs as the scale of output increases.
- Internal Economies of Scale**: a long run result of a decision to produce on a larger scale.
 - The principal advantage for a firm benefiting from economies of scale is a **reduced cost per unit produced**.

Technical Economies	Advantages gained directly in the production process
Purchasing economies	Increase purchase power, bulk buying, cheaper inputs
Marketing economies	Promote at lower rates, saving in costs of distribution
Managerial economies	Specialisations and specialists/experts
Technological economies	Cost saving through online advertising and booking systems
Financial economies	Better and cheaper access to borrowed funds
Risk-bearing economies	More risk-averse due to diversified conglomerate activity

- External economies of scale**: cost-saving accruals to all firms in an industry as the scale increases.
 - Economies of Concentration**: Increase in the power of the wealth and thus the influence of government interventions, such as taxes and tariffs.
 - Economies of Technology**: Involvement of better and advanced technologies and sciences in relation to economic activities.
 - Economies of Skills**: Where skilled/specialised people can work more efficiently and cost-effectively.
- The Benefits**:
 - Egalitarian**: All the businesses in an industry enjoy these economies of scale equally.
 - Growth**: stimulate industry growth in particular regions and encourage the rapid economic

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development of support industries and the wider geographic area.

- **Lower Costs:** Besides lower production and operating costs, economies of scale may reduce variable costs per unit because of operational efficiencies and synergies.
- **Diseconomies of Scale:** where long-run average cost increases as the scale of output increases
 - Internal Diseconomies of scale are possible because the excessive concentration of economic activity in a narrow geographical area will lead to disadvantages.
 - **Technical Diseconomies:** inefficiencies in the production process. When companies grow faster than they can adapt and can't meet demand, they meet scalability issues.
 - **Organisational Diseconomies:** inefficiencies in the workforce management. Additional growth requires additional workers to the workforce. This can cause issues with communication and motivation, thus reducing employee productivity.
 - **Purchasing Diseconomies:** laxity in purchasing due to additional cash inflows, which creates problems of irresponsible spending, greater waste, higher costs and even lack of progress.
 - **Competitive Diseconomies:** This happens due to non-competitive markets; this lack of tangible incentives causes inefficiency.
 - **Financial Diseconomies**
- External diseconomies of scale come in the form of:
 - **Traffic Congestion,** which increases distribution costs.
 - **Land Shortages** and, therefore, rising fixed costs.
 - **Shortage of Skilled Labour** and, therefore, rising variable costs.

1.10. Revenue and Profit

Revenue

- **Total Revenue (TR)** = price x quantity
- **Average Revenue (AR)** = $\frac{\text{total revenue}}{\text{Output}}$
- **Marginal Revenue (MR)** = $\frac{\text{change in total revenue}}{\text{change in total output}}$
 - Marginal revenue is the additional revenue gained by the additional unit.
- The firm only sells more by reducing price; AR is always higher than MR. The demand curve is the AR line.

Profit

There are 3 types of profit:

- **Normal Profit:** a cost of production that is just sufficient for the firm to keep running in the same industry
- **Subnormal Profit:** any profit less than the normal profit. If the problem persists, then the firm will leave the industry and go into one that will make a profit.
 - $P < AC$, price less than average cost.

- **Supernormal Profit:** any profit in excess of normal profit. It only exists in the short term and only for monopolies.
 - $TR > TC$, the total revenue is greater than the total costs.

1.11. Different Market Structure

- **Industry:** a group of productive enterprises or organisations that produce or supply goods, services, or sources of income.
- **MNC:** A multinational corporation (MNC) has business operations in two or more countries.
- **Market Structure:** the way in which a market is organised in terms of the number of firms and barriers to the entry of new firms.
- **Barriers to Entry:** any restriction that prevents new firms from entering an industry.
- **Spectrum Structure:**
 - Large $\leftarrow$ Number of firms $\rightarrow$ Small
 - None $\leftarrow$ Barrier to entry $\rightarrow$ High
 - None $\leftarrow$ Control over price change $\rightarrow$ Full
- **Perfect Competition:** an ideal market structure with many buyers and sellers, identical or homogeneous products and no barriers to entry.
 - It is on the furthest left end of the spectrum.
- **Imperfect Competition:** any market structure except for perfect competition.
- **Monopolistic Competition:** a market structure where there are many firms, differentiated products and few barriers to entry
 - This falls after perfect competition in the middle of the spectrum structure.
- **An oligopoly** is a market structure with few firms and high barriers to entry.
 - Falls after monopolistic competition in the middle of spectrum structure.
- **Monopoly:** a pure monopoly is just 1 firm in an industry with very high barriers to entry.
 - It falls at the furthest right end of the spectrum
- Stages to help identify the market structure in the spectrum:
 - Count firms, larger numbers, closer to perfect competition.
 - Concentration ratio to see the combined market structure of the biggest firms as a percentage of the industry total. The bigger percentage is closer to oligopoly and monopoly.
 - Considering barriers to entry
 - Considering the importance of economies of scale to a firm, the more it is, the closer to oligopoly.
- **Barriers to Entry:**
 - **Access to Capital:** The market could have high fixed costs/set-up costs, such as research and development, which might require a high salary over a long period to be profitable.
 - **Sunk costs act as a barrier to exit** and the high risk of entry and failure prevent potential firms from entering.



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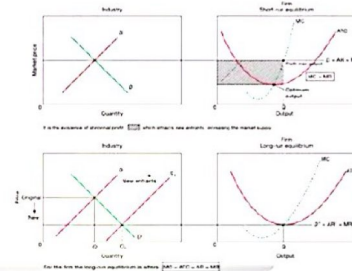
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- **Advertising and brand names** with high consumer loyalty are hard to achieve, so they deter firms as they are also regarded as a form of investment.
- **Start-ups have less advantage of economies of scale.** and large firms can take advantage of their economies of scale and use predatory pricing.
- **Patents restrict** the use of production processes/products.
- Some existing firms may have **monopoly access to raw materials, components and retail outlets.**
- **Concentration Ratio:** the collective market share of the largest firms in the industry.
- It is found by taking the 'n' number of top firms and adding up their market share. Then, put them in a ratio.
- Company A's market share is 10%, company B's market share is 15%, company C's market share is 20%, and company D's market share is 25%.
- the ratio would be $n=4$, total market share of the top firms = 70, thus 4:70.
- **Important note:** Only add the big dominators, not all the firms in the market.
- The higher this concentration ratio, the more concentrated the market is (more competition).

Perfect Competition

- **Theoretical Extreme**, the only applicable example is the **produce market**, which has the following characteristics:
 - **Perfect knowledge** about market conditions and prices by all buyers and sellers.
 - Individual firms have **no influence** on market price, which is determined by market demand and quantity-supplied forces. Firms are **price takers**.
 - All products are **identical** (same quality and identical to every consumer)
 - **Freedom of entry** into and exit from the market.
- **Demand = Average revenue = Marginal revenue.**
 - This is because firms cannot influence price; they just take it. This leaves the marginal revenue constant, which makes equal average revenue (Additional units will give the same revenue every time).
 - The price is equal to AR and MR.
- The chosen output will be where **MC = MR (price)**, the profit maximisation point.
- **Abnormal profit** results in the **short run**, but since it creates incentives for new firms to enter, supply rises, causing prices to fall and profits to return to normal.
- **Long-run equilibrium** leaves only productive and allocative efficient firms due to **normal profit**.
- The **Shutdown price** is when **$P = AR = AVC$** .
 - If the firm's price (average revenue) falls below its average variable cost, it is making an **operating loss** since that would mean the total revenue would be less than the variable costs. This is **short-term** since firms may return from this loss by cutting costs, loans, economic growth, etc.
 - The **long-term shutdown price** is when the price is less than the minimum ATC: the firm will have to exit the

market permanently since it cannot cover all its costs.



1.12. Contestable Market

- **Contestable Market:** Any market structure with a threat that potential entrants are free and able to enter this market.
- No cost for entry, and it exists in the perfect contestable market. The government does this to deregulate the market and make it more competitive.
- **Features of Contestable Market**
 - Free entry
 - The number and size of firms are irrelevant.
 - Only normal profit can be earned in the long run.
 - The threat of potential entrants into the market is overriding
 - All firms are subject to the same regulations and government control.
 - Mechanisms must be in place to prevent unfair pricing designed by established firms to stop new firms from entering.
 - Cross subsidisation is eliminated.

1.13. Imperfect Competition

- any market structure except for perfect competition

Monopolistic Competition

- **Characteristic:**
 - Numerous buyers and sellers
 - Few barriers to entry
 - Wide choice of differentiated products
 - Firms have some influence on market price
- Similar to perfect competition, except for product differentiation. This requires brand image, so advertising and promotion play a big role in this market structure.
- Firms can charge **prices above marginal cost** which means as the firm makes more of the product, the price is lowered, and that's why **marginal revenue is below the demand curve**.

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- In the short-run, as firms aim to maximise/minimise profit, they will aim to produce where $MC=MR$; this has them making an **abnormal profit**. Like perfect competition, this creates **incentives for new firms to enter** due to **low barriers to entry**. But unlike perfect competition, firms can set their prices; this creates **competition and shifts prices from where it meets demand to where it meets ATC and MC**. This leads to losses, but as firms are free to exist, these **losses are turned into normal profits**.
- In the long run, firms will still produce where $MC=MR$; however, the demand curve would have **shifted to the left due to competition** and firms entering the market. This causes **normal profit and excess capacity**, as firms won't produce at minimum ATC in the long run.

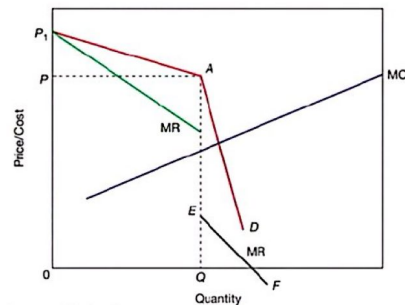
Oligopoly

- Characteristics:
 - Dominated market by a few firms
 - Decisions are interdependent on rival strategies/reactions.
 - High or substantial barriers to entry
 - Products may be differentiated or not.
 - The uncertainty and risk associated with price competition may lead to price rigidity.
- Oligopoly behaviour can follow 2 routes, **aggressive competition in the form of price wars** and another less risky approach through **non-price competition to increase revenue and horizontal integration**.
- Non-Price Competition**
 - physical characteristics
 - location
 - service level
 - advertising
- The second route is **cooperation and collusion**.
 - Cooperation like research and development, where firms pool their knowledge and perhaps participate in joint ventures.
 - Collusion is different; it is **anticompetitive action** by producers;
- Price Leadership**: a situation in a market whereby a particular firm has the power to change prices, the result of which is that competitors follow the lead.
- Cartel**: a formal agreement between firms to limit competition by limiting output or fixing prices.

Main Theories to Attempt to Explain Oligopolistic Behaviour

The Kinked Demand Curve

- is a means of analysing firms' behaviour in an oligopoly without collusion.
- The kinked demand curve shows how oligopoly firms won't be able to have price competition, and that will lead to the temptation to collude.



Impact of Price Rise

- In the graph above, p is the equilibrium price; if the price rises above that, there will be a **Reverse movement along the demand curve**, causing a **reduction in Q (quantity)** and a **reduction in MR (marginal revenue)**.
- If a firm increases the price, it becomes more expensive than its rivals, so **consumers will switch to its rivals**.
- Therefore, for a price rise, there is likely to be a **significant fall in demand**. Demand is, therefore, **price elastic**.
- In this case, by increasing price, firms will **lose revenue** because the percentage fall in demand is greater than the percentage rise in price.

Impact of Price Cut

- In the graph above, p is the equilibrium price; if the price reduces below that, there will be **Forward movement along the demand curve**, causing a **slight increase in Q (quantity)**, a **reduction in MR (marginal revenue)** and a **significant increase in MC (marginal cost)**.
- If a firm cut its price, it will likely lead to a different effect. In the **short term**, if a firm cuts price, it would cause a **big increase in demand**, leading to a **rise in revenue**. The firm would **gain market share**.
- However, **other firms will not want to see this rise in market share**, so they will respond by also **cutting prices to follow the first firm**. The net effect is that if all firms cut price – the individual firm will **only see a small increase in demand**.
- Because there is a 'price war', demand for a firm is **price inelastic** – there is a **smaller percentage rise in demand**.
- If demand is **inelastic** and price falls, then **revenue will fall**.

Game Theory

- Showcases interdependences that a kinked demand curve cannot showcase.

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Company A	Company B	
	\$1 (HIGH)	\$0.90 (LOW)
\$1 (HIGH)	\$3m, \$3m	\$0.5, \$4m
\$0.9 (LOW)	\$4m, \$0.5 m	\$1m, \$1m

- This diagram showcases the different options a firm can decide based on competition and price.
- Prisoners' dilemma** is showcased here, with a **Nash equilibrium** and **dominant strategy**.
- The Nash Equilibrium:** a decision-making theorem within game theory that states a player can achieve the desired outcome by not deviating from their initial strategy. In this case, the Nash equilibrium is either selling for 1 dollar for companies A and B, where each gets 3 million in return.
- Dominant Strategy:** the optimal option for a player among all the competitive strategy sets, no matter how that player's opponents may play. Company A would prefer to sell at 0.9 dollars to gain 4 million in the above example.
- Prisoners' Dilemma:** when both parties are under the guise of guilty, where if both fess up, punishment is shared if one is proven guilty, full punishment. This causes both parties to be in a dilemma. Related to pricing strategy.
- Principal Agent Problem:** a principal hires an agent to own the business, but there is a case of info. Failure, since the principal, cannot ensure that the appointed agent makes the necessary decisions to run the firm in the best interests of shareholders. For ex. the agent is following the objective of satisfying, whereas the principal believes he or she is implementing a policy of profit maximisation.
- Price rigidity (non-price competition) like the Nash equilibrium is not the best outcome, therefore pushes firms to collude and use tactic collusion.
- It also provides an incentive to cheat on collusive agreements, which could put firms at risk of being caught, which could reflect negatively.

Monopoly

- A pure monopoly is a single firm, but in real life, a monopoly can be a firm with a large percentage of market share and a mass dominant position.
- In theory characteristic:**
 - Single seller
 - No close substitutes
 - High barriers to entry
 - The monopolist is the price maker
- Local monopolies** can exist because it could be too costly for the others to set up, even tho it could be a small firm.

- No distinction between short-run and long-run due to barriers of entry and no economic incentive for the monopolist to move away.
- Monopoly sets prices higher than market equilibrium (where $MC=ATC$), causing them to make supernormal (abnormal) profits. This would normally attract new firms, but due to the higher barriers of entry, no effect on the profit occurs.
- Natural Monopoly:**
 - Where a single supplier has a substantial **cost advantage** such that competing producers would raise costs and where duplication will produce an inefficient use of resources. This can also be done by the government, for example, utilities, because private firms may exploit the customers.
 - It could be making an **abnormal profit**, but if it behaved like a competitor firm, equilibrium is where **price = long-run marginal cost**. This leads to price and added quantity loss, causing a loss without government subsidies. That is why being in the public sector is more logical.
- Positives of Monopoly**
 - a monopolist cannot always make abnormal profit
 - the competitive market has an uncertainty of profits - monopolists can invest in this and provide better **quality products and job security**.
 - Investment** may take the form of process innovation.
 - Profit would be used to **finance product innovation**.
 - If the benefits of economies of scale were passed on to **consumers**, they would have gained from it.

Comparing Monopoly and Perfect Competition

- Monopoly price higher than perfect
- Monopoly output lower
- Monopolists making long and short-run abnormal profits
- Productive efficiency and producing optimum output in perfect competition and also allocative efficiency, $price = MC$.
- Monopolists take consumer surplus and make abnormal profits.
- X Inefficiency** - where the typical costs exceed those experienced in a more competitive market. This happens when the firm lacks the incentives to lower the costs.
- The monopoly firm is productively inefficient, producing less than the optimum output in the search for extra profit. The price change is well above marginal cost and is not allocative efficiency.
- If a perfectly competitive industry were turned into a monopoly, there would be a **welfare loss of area x** and greater allocative inefficiency.

1.14. Growth and Survival of Firms

Existence of Small firms (and reasons why firms decide to remain small):

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- Support large firms through economic activity in small markets.
- Spread of skills
- Personal attention in service to customers
- Can be future big firms in making
- Obstacles of growth lead to it staying small.
- Expansion is not an objective
- The recession and rising unemployment trigger an increase in start-ups.
- Financial help from the government
- More efficient and competitive (Quick response to changes in the market).

Growth

Internal Growth: the firm decided to retain profit and invest it in the business to grow and expand.

- Reduction in average total cost of overtime due to economies of scope.
 - **Economies of Scope:** reduction in ATC made possible by a firm increasing the goods it produces.
- Achieve higher profits → Boost sales → Profit.
- Diversity in product range due to economies of scale.

External Growth: The firm expands by joining together through takeovers or mergers.

- **Diversification:** where the firm grows by producing or selling a wide range of products.
- **Vertical Integration:** where the firm grows by merging or taking over with other firms, producing backwards or forward in the supply chain.
 - Vertical forward integration (forward supply chain)
 - Vertical backward integration (backward supply chain).
- **Conglomerate Integration:** producing in an unrelated industry.
- **Horizontal Integration:** where a firm merges or takes over another in the same industry.

Reasons for Integration

- Capture resources from other businesses.
- Benefit from their experience and knowledge of the market, especially if the firm wants to integrate into a new industry (Vertical integration or conglomerate).
- Diversity in production lines reduces the risk for firms.
- To avoid being taken over by other larger firms, the firm will merge or take over other smaller firms in the industry (horizontal).

Consequences of Integration

- Economies of scale and scope (positive outcome)
- Diseconomies of scale (Negative outcome)
- Conflict in decision-making arising from different management cultures.
- The owner may lose control due to the addition of the stakeholders. This may lead to conflict in objectives

between the owner and the rest of the stakeholders.

1.15. Cartels

- **Cartel:** a formal agreement between firms to limit competition by **limiting output or fixing prices**.
- Types of cartel agreement:
 - **Price Fixing:** maintain or fix a **minimum pricing strategy** where they cannot sell below the floor price. They may also require the **unison raising of prices** and avoid **discount pricing**.
 - **Market Share:** divide the market (customers and regions) between the members to ensure **even revenue distribution**. This is done by restricting the other members' involvement in that region.
 - **Terms of delivery,** agreeing on modes, location, billing, etc.
 - **Output and production** agree on the production level to influence/force higher price trends for goods or services.

Positive consequences	Negative consequences
Monopoly power advantages to its members	Act as a barrier to entry by discouraging new entrants.
Save costs to members through economies of scale	Lack of competition creates inefficiency in the market.
Prices for goods and services at higher margins to maximise profit.	Harm consumers, as prices are greater than the market price, and supply is restricted.

1.16. Differing Objectives and Policies of Firms

- **Profit Maximisation**
 - Firms want to increase the level of profit they receive from given output. Thus, why is profit maximisation an objective?
 - In the graph above, when the **marginal revenue is greater than the marginal cost**, the firm gains increasing profit levels, at which $MC=MR$ is the maximum profit level for the given output. However, if the **marginal cost exceeds marginal revenue**, the firm will be making a **loss for each unit produced**.
 - **Short-term profit maximisation may not be of interest long term:**
 - Avoidance of government watch
 - Large abnormalities may attract new entrants
 - High profits may decrease relationships with stakeholders.
 - Management may have different objectives.
- **Survival**
 - The very common objective, the first objective of a new startup, and the prioritized objective to a declining in-loss firm.
 - It's not a profit-centred objective.



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- Survival objectives ensure the firm is operating, regardless of profit. This objective focuses on ensuring the business doesn't fall into a loss and has enough to cover its Total costs.
- Profit Satisfying**
 - A firm aims to make a reasonable profit level to satisfy all shareholders.
- Sales Maximisation:** a firm's objective to maximise the volume of sales.
 - Cross subsidisation** (the strategy of funding one product with the profits of another) is used since higher output relative to revenue causes loss, and firms need ways to cover ATC.
 - This objective may **draw new entrants** but can be **deterred by price wars**.
- Revenue Maximisation**
 - A firm's objective to maximise turnover, $MR=0$.
 - Accept low prices and above profit maximisation output to increase market share, called **penetration pricing policy**.
 - It can be favoured if management salaries are linked to the value of sales.

Pricing Policies

Price Discrimination

- Price Discrimination:** 3 recognised types of price discrimination:
 - First Degree:** The firm sells at different prices for different consumers based on their ability/willingness to pay. The main focus is on maximising willingness to pay.
 - $\text{Demand curve} = MC$
 - $\text{Price} = MR$
 - Second Degree:** Consumers will only buy more of a product when the additional units are lower in price, which causes firms to charge a **higher price for the first unit and lower for the successive**.
 - Total revenue and profit rise.
 - Third Degree:** Discriminate between consumers based on the **presumption that groups of consumers have a different price elasticity demand** for the product.
- The aim of price discrimination, if taking **advantage of consumer surplus**, is to **maximise producer surplus**.
- Conditions for Price Discrimination:**
 - The **degree of monopoly power** needs to be a price maker.
 - Be able to **identify the different market segments**.
 - The **elasticity of demand** for different consumers is known.
 - Firms need to **prevent re-sale** of products by consumers. This could result in the exploitation of consumers.

Consequences for Consumers	Consequences for Producers
Lower prices for some consumers	Increased revenue through increased profit-making opportunities. Helps businesses to make up losses
Reduce consumer surplus	Regulated demand can help reduce the crowd in peak season and increase during the off-season.
With lower product choices, monopolies can take advantage to achieve greater market share and establish a high barrier to entry. This reduces welfare, and lower-income consumers may be unable to afford it.	Administration costs, for example, the costs spent to prevent the reselling of goods.
Creates unfairness in society	

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Creates unfairness in society	

- Limit Pricing:** seeks to keep firms out of the market. Short-term method used by oligopolists and monopolists.
- Predatory Pricing:** Prices are set very low, sometimes below average total cost, to drive out competition and create a monopoly.
- Price Leadership:** Commonly used by oligopolies, the highest market share business sets lower short-term prices, and the rest follow. This can cause a small business to be driven out.

Note: relationship between price elasticity of demand, marginal revenue and total revenue.

- MR and PED have a direct relationship: Positive MR=Elastic demand. Negative MR=Inelastic demand.
- MR is a part of the total revenue. MR is used to find the optimum output level that maximises sales and profit: positive MR=TR increases, and negative MR=TR decreases.

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